MSFT - Microsoft | Post-FY2026 Q4 Deep Dive

Full investment research | Model assumptions and source evidence

Framework: v8.0; company-specific 20x rolling forward-four-quarter operating-profit ceiling
Status: Full rescore on October 19, 2026; original July issuer guidance reconciled separately from the new cropped capacity note
Snapshot: FY2026 Q4 revenue **$90.007B**; operating profit **$40.603B**; diluted shares **7.443B**
Valuation convention: 20× forward-four-quarter operating profit / 7.443B diluted shares
Artifact analytical Base: 73/100; protected **Excel Base: 87**
Active-horizon ceiling (Q4 2027): approximately **$571/share**, unchanged

Investment conclusion

Microsoft's quarter resolves the most important debate in its favor: AI infrastructure spending is producing revenue before it destroys software economics. Azure grew 43%, Microsoft Cloud revenue grew 27% to $59.3B, commercial remaining performance obligation rose 84% to $678B, and the company exceeded its own revenue guide by more than $2B. Operating profit still increased 18%.

Available qualified capacity limits the pace at which strong demand becomes revenue. Management said demand continues to exceed supply and that efficiency improvements, faster CPU/GPU deployment and newly activated capacity were monetized quickly. This supports a forward path where Azure growth remains in the low-to-mid 40s near term before normalizing, while Microsoft 365 Copilot adds both seats and usage-based revenue.

We use **20× operating profit**, the standing default applied uniformly across the mega-cap platform names. Microsoft's more recurring enterprise revenue base, its $678B contracted backlog and its multiple monetization layers across Azure, Microsoft 365, GitHub, security and data are reflected in the Base score rather than in a valuation premium. Capex, component inflation, cloud gross-margin pressure and model-provider concentration all argue against a premium in any case.

Actuals versus the prior guide

FY2026 Q4	Prior guide / expectation	Actual	Read-through
Revenue	$86.7B-$87.8B	$90.007B	Broad beat, not a single-line accounting effect
Operating profit	Guide implied below actual	$40.603B	Margin held despite AI investment
Productivity & Business Processes	$37.0B-$37.3B	$37.847B	M365 and Copilot remain resilient
Intelligent Cloud	$37.95B-$38.25B	$39.306B	Azure capacity conversion drove the largest beat
More Personal Computing	$11.75B-$12.25B	$12.854B	Better than feared despite Windows/Xbox declines
Azure growth	39%-40% CC	43% reported	Demand and capacity activation both stronger
Capital expenditures	Over $40B	About $41B	Spending remains extreme but productive

The $3.2B unrealized Anthropic gain and other discrete items affected net income, not operating profit. The framework therefore values the business on reported operating profit and excludes investment mark-to-market gains.

AH-11 decomposed model

1. Intelligent Cloud / Azure

Azure is the timing spine. The business now exceeds $100B in annual revenue, while Q4 Azure growth accelerated to 43%. Management attributed the quarter's upside to:

- continued demand above supply;
- CPU and GPU fleet-efficiency gains;
- shorter time from equipment arrival to monetization;
- capacity additions that could be sold immediately;
- a broader mix of frontier-model, enterprise and sovereign demand.

Management said all sequential commercial RPO growth came from customers outside the frontier-model firms. This broadens the backlog mix; it does not establish a separate $50 billion contribution from non-US model makers. The platform is designed to support closed, open and customer-specific models. This reduces single-model risk but does not eliminate concentration or counterparty risk.

2. Microsoft 365, Copilot and agentic work

Microsoft 365 Copilot reached more than 30M paid seats, up from more than 20M one quarter earlier. Management said time from license purchase to usage has fallen sharply and usage intensity has increased. The business model is evolving from seats alone to **seat plus usage**, with premium SKUs such as E7 adding ARPU.

The base model treats Copilot as a driver of M365 cloud ARPU and retention, not as an independent TAM stacked on top of the existing franchise. That avoids double counting.

3. GitHub, security, data and agents

Microsoft's architectural advantage is the combination of model choice, Azure infrastructure, enterprise data, identity, security and workflow. Customers can use frontier, open or proprietary models while retaining organizational memory and governance. This creates a wider enterprise platform moat than raw GPU rental alone.

No separate valuation credit is assigned to individual Copilots, Fabric, GitHub or security agents. Their contribution appears through segment growth and consolidated operating margin.

4. More Personal Computing

Windows OEM and Devices revenue declined 7%, and Xbox content and services declined 10%. FY2027 comparisons are difficult because Windows 10 end-of-support and transactional purchasing boosted the prior year. We model MPC as a low-growth stabilizer, not a principal earnings engine.

FY2027 guidance reconciliation

The original July 29 call guides to full-year operating margin falling by less than 1 percentage point. Our prior model instead expanded the margin. This rescore corrects that conflict and labels the selected point within the guidance range as an assumption.

FY2026 actual operating profit was about $155 billion on about $332 billion sales. The revised FY2027 central margin is the exact FY2026 margin less half a percentage point. At the retained $381 billion sales forecast, that gives about $176 billion operating profit, compared with the old $181 billion. Half a point is a modeling midpoint, not management point guidance.

Calendar Q3 2026 is fiscal Q1 2027. The revenue guide midpoint is $90,400 million, cost-of-revenue midpoint $29,700 million and operating-expense midpoint $16,850 million, producing $43,850 million operating profit. Intelligent Cloud guidance is $40,950-41,250 million. The remaining annual profit correction is allocated across the next three fiscal quarters in proportion to their existing sales, preserving seasonal margin ordering. Existing FY2028 and later operating forecasts remain explicit assumptions.

The disclosed longer useful life affects data-center and office buildings. Its effect is already included in issuer guidance; GPUs do not inherit a 25-year life and no second depreciation benefit is added. Capital spending and lease-classification changes are kept distinct from operating-profit generation.

October 19 capacity and monetization review

The new screenshot attributes additions of about 3 GW in FY2026 and about 4 GW in FY2027 to a capacity tracker. It also discusses enterprise cloud budgets and M365 premium-SKU/usage monetization. The source image preserves the precise original figures. Publisher identity, date, methodology, power basis and the missing final continuation are unavailable.

The CIO-budget comparison overlaps the already-reviewed October 12 survey. Facility capacity spans first-party services and other workloads as well as external Azure. A change between two fiscal-year capacity additions does not show capacity above the existing financial forecast, which already assumes strong Azure growth and rapid monetization. Copilot and premium SKU benefits already enter consolidated growth and margin.

A bounded proxy tested a small external-Azure cohort, utilization, billing, hardware and site depreciation, electricity, maintenance and support costs, with a 30% probability and 75% overlap assumption. The model retains this as a sensitivity rather than active company sales: the implied extra physical capacity above the old growth path has not been established, and an assumed overlap fraction cannot establish it. The underlying capacity thesis retains a positive probability. The zero incremental active contribution reflects overlap and the missing physical baseline after that proxy attempt.

The precise next evidence needed is a dated full note, facility-versus-IT power definition, first-party/external allocation, accepted deployment above the inherited growth path, utilization/billing realization and matched capital/operating costs. The new tracker cannot independently supply Microsoft revenue or profit per GW.

Full review decisions, exact calculations, source hashes and the rejected capacity sensitivity are retained with RESEARCH-20261019-OWNER-RESCORE.

Quarterly operating model

USD billions except margin and per-share ceiling.

Calendar quarter	Microsoft fiscal label	Status	Revenue	OP margin	Operating profit	Forward-4Q OP	Ceiling/share
Q3 2026	FY27 Q1	Guidance-derived	$90	49%	$44	$176	$474
Q4 2026	FY27 Q2	Model	$96	46%	$44	$181	$486
Q1 2027	FY27 Q3	Model	$94	46%	$43	$188	$505
Q2 2027	FY27 Q4	Model	$101	45%	$46	$196	$527
Q3 2027	FY28 Q1	Model	$103	47%	$48	$205	$551
Q4 2027	FY28 Q2	Model	$109	47%	$51	$212	$571
Q1 2028	FY28 Q3	Model	$108	47%	$51	$220	$592
Q2 2028	FY28 Q4	Model	$116	47%	$55	$228	$613
Q3 2028	FY29 Q1	Model	$119	47%	$56	$236	$634
Q4 2028	FY29 Q2	Model	$126	47%	$59	$244	$655
Q1 2029	FY29 Q3	Model	$124	47%	$58	$253	$680
Q2 2029	FY29 Q4	Model	$133	47%	$63	$262	$705
Q3 2029	FY30 Q1	Model	$136	47%	$64	$272	$731
Q4 2029	FY30 Q2	Model	$144	48%	$68	$283	$760
Q1 2030	FY30 Q3	Model	$142	48%	$67	$293	$788

Values are USD billions except per-share ceilings. Whole-number display does not change exact saved calculations. The FY2027 correction reduces nearer targets; the active Q4 2027 window begins after that fiscal year ends and stays about $571. No separate capacity increment is active.

Analytical Base: 44/60 = 73

The prior 87 analytical score used six quality axes. The current framework requires seven specific categories, so it cannot be mapped mechanically into that older score. This fresh assessment is 44 out of 60, rounded to 73. The Excel Base remains protected at 87; no owner override is removed.

Category	Points	Reason
Core Thesis	16	Enterprise data, identity, security and workflow integration create durable distribution and switching costs. Azure competes with AWS/GCP and model/service substitution; the entire company is not a physics-mandated sole-source bottleneck.
Cycle Stage	9	Azure growth and paid Copilot adoption are accelerating with rapid capacity/efficiency monetization; physical capacity and heavy reinvestment temper a perfect score.
TAM Expansion	9	Agents expand infrastructure, data/governance and enterprise workflow consumption across the three framework phases. Much of that is already in consolidated receipts, and surveyed mix does not itself establish paid demand.
Catalysts	4	October28 earnings, capacity activation, E7/usage monetization and RPO conversion offer measurable tests. Tracker date and acceptance mapping remain incomplete.
Macro	8	Cloud migration and enterprise AI investment are strong; energy/component cost, regulation and customer budget/ROI controls are offsets.
Alpha	2	Well-covered platform with strong public disclosures. New capacity detail is useful but does not establish an exclusive or precisely unpriced shareholder-profit opportunity.
Risks	-4	Four deductions: capex/lease and utilization returns; model/customer concentration and price competition; security/regulatory/geopolitical exposure; deployment/product monetization and accounting execution.

What management said across the latest two calls

FY2026 Q3 established that supply would remain constrained through 2026, Azure growth should modestly accelerate in the second half of calendar 2026, calendar-year capex would be around $190B before accounting reclassification, and FY2027 should deliver double-digit revenue and operating-income growth.

FY2026 Q4 validated that spine. Azure accelerated to 43%, the quarter materially exceeded guidance, Copilot paid seats rose to more than 30M, and management described immediate monetization of efficiency and capacity improvements. The latest call also made the platform strategy clearer: Microsoft expects customers to use multiple models, while Azure monetizes the governed infrastructure, data and agent harness around them.

Risks and falsification tests

The model should be cut if any two of the following persist:

1. Azure growth falls below 30% before capacity constraints ease.
2. Commercial RPO growth falls below revenue growth without a duration-mix explanation.

3. Microsoft Cloud gross margin deteriorates faster than revenue growth can offset.
4. Copilot seats grow but M365 cloud ARPU and segment operating profit do not.
5. Capex and lease commitments continue rising while Azure growth and capacity utilization slow.
6. OpenAI or another major model customer weakens contract quality, payment visibility or platform exclusivity.
7. Security or service incidents impair enterprise trust.

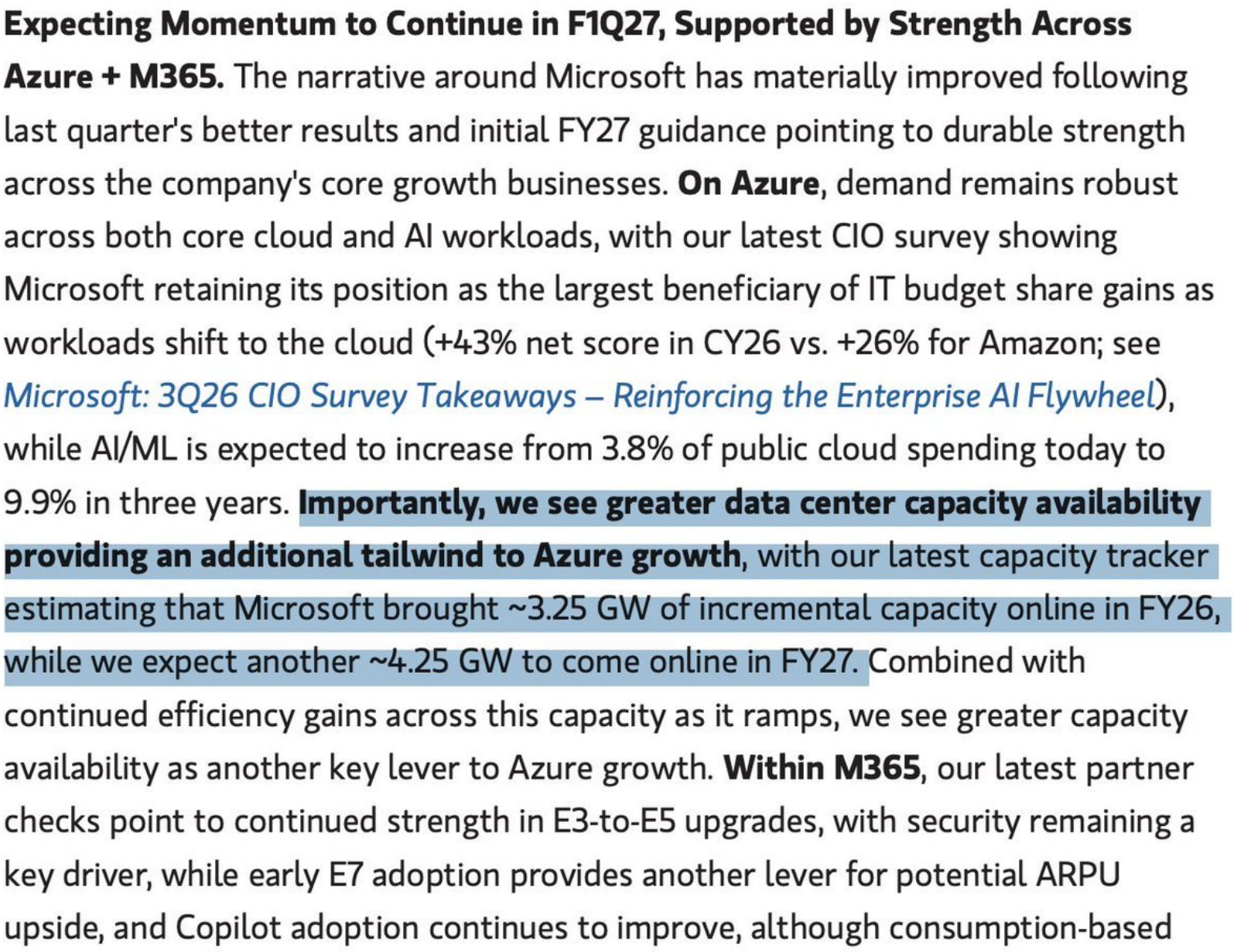
Monitoring dashboard

- Azure reported and constant-currency growth
- Intelligent Cloud revenue and operating margin
- Commercial RPO growth, duration and customer concentration
- Microsoft 365 Copilot paid seats, usage and premium-SKU mix
- Cloud gross margin
- Capex split between short- and long-lived assets
- Finance and operating lease commitments
- Free cash flow after capex
- Non-OpenAI AI-model customer contribution

Sources

- Microsoft FY2026 Q4 earnings release
- Microsoft FY2026 Q4 call archive
- Microsoft FY2026 Q3 full call transcript
- Reuters, July 29, 2026: Azure growth, backlog and capex

Original supplied research image



Expecting Momentum to Continue in F1Q27, Supported by Strength Across Azure + M365. The narrative around Microsoft has materially improved following last quarter's better results and initial FY27 guidance pointing to durable strength across the company's core growth businesses. **On Azure**, demand remains robust across both core cloud and AI workloads, with our latest CIO survey showing Microsoft retaining its position as the largest beneficiary of IT budget share gains as workloads shift to the cloud (+43% net score in CY26 vs. +26% for Amazon; see *Microsoft: 3Q26 CIO Survey Takeaways – Reinforcing the Enterprise AI Flywheel*), while AI/ML is expected to increase from 3.8% of public cloud spending today to 9.9% in three years. **Importantly, we see greater data center capacity availability providing an additional tailwind to Azure growth**, with our latest capacity tracker estimating that Microsoft brought ~3.25 GW of incremental capacity online in FY26, while we expect another ~4.25 GW to come online in FY27. Combined with continued efficiency gains across this capacity as it ramps, we see greater capacity availability as another key lever to Azure growth. **Within M365**, our latest partner checks point to continued strength in E3-to-E5 upgrades, with security remaining a key driver, while early E7 adoption provides another lever for potential ARPU upside, and Copilot adoption continues to improve, although consumption-based

Original owner-supplied Microsoft capacity and monetization excerpt. Publisher/date and the final continuation are missing.